

Emirates source booklet

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Pearson Edexcel International Advanced Level
Business / Unit 3: Strategic Position and Strategic Choices

WBS13/01 — Practice Paper: Emirates (Topic 3.3 PESTLE)

SOURCE BOOKLET

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Sources for use with Section A

Extract A

Emirates and the global aviation environment

Emirates is the world's largest long-haul airline by scheduled international passenger kilometres. Headquartered at Dubai International Airport, it is wholly owned by the Investment Corporation of Dubai, an arm of the Dubai government. In the financial year ending March 2024, the Emirates Group — comprising Emirates airline and the airport services company dnata — reported revenue of AED 119.7 billion (approximately USD 32.6 billion) and a record profit before tax of AED 18.7 billion (approximately USD 5.1 billion), more than doubling the previous year's profit.

Emirates operates a fleet of over 260 wide-body aircraft — primarily Airbus A380 and Boeing 777 variants — and serves more than 150 destinations across more than 80 countries. Its hub-and-spoke model, centred on Dubai, connects passengers between continents rather than simply serving point-to-point routes. This global positioning exposes the airline simultaneously to political risk, fuel price volatility, regulatory pressure and rapid technological change.

Under Group Chairman and Chief Executive Sheikh Ahmed bin Saeed Al Maktoum, Emirates has pursued a strategy of continuous fleet investment and premium brand positioning. In 2023 Emirates placed an order for 90 additional Boeing 777X aircraft, valued at over USD 52 billion at list prices, in one of the largest aircraft orders in aviation history. The airline attributes its sustained competitive advantage to the efficiency of its Dubai hub, the quality of its in-flight product, and the strategic location of the UAE as a connection point between Europe, Asia, Africa and the Americas.

Extract B

Selected financial data for the Emirates Group, 2022–2024

2021–22 (AED)	2022–23 (AED)	2023–24 (AED)
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	bn)	bn)	bn)
Revenue	77.5	97.9	119.7
Operating costs	(76.9)	(83.8)	(98.3)
Operating profit	0.6	14.1	21.4
Profit before tax	0.6	8.5	18.7
Fuel costs (included in operating costs)	25.7	32.4	35.2
Fuel costs as % of operating costs	33.4%	38.7%	35.8%
Passengers carried (millions)	49.0	71.5	86.6

Note: figures are rounded and presented for the purpose of this paper. AED = UAE dirham. 1 AED = USD 0.27.

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Extract C

Geopolitical risk and route network decisions

The aviation industry is acutely sensitive to geopolitical events. When Russia invaded Ukraine in February 2022, more than 30 airlines — including Emirates — were forced to reroute flights to avoid Russian and Ukrainian airspace. For Emirates, this added between two and three hours to some European routes, significantly increasing fuel burn and crew costs. By late 2023, Emirates had permanently rerouted or suspended services on several routes affected by the closure.

Emirates also suspended flights to several destinations in sub-Saharan Africa and the Middle East during 2023 and 2024 due to political instability, currency restrictions or conflict. In some markets — such as Nigeria — the airline faced difficulties repatriating ticket revenue because of government-imposed restrictions on foreign currency transfers. By mid-2023 an estimated USD 600 million in Emirates' ticket revenue was blocked in Nigeria alone.

At the same time, the UAE's own political relationships provide strategic advantages. Bilateral air service agreements allow Emirates to operate to more international destinations than most competitors. The Abraham Accords signed in 2020, normalising relations between the UAE and Israel, immediately opened new direct routes between Dubai and Tel Aviv — a market that had previously been inaccessible.

Extract D

Passenger growth and the post-pandemic recovery

Region	2022–23 Passengers (m)	2023–24 Passengers (m)	Year-on-year change
Europe	22.8	26.1	+14.5%
Asia Pacific	14.3	18.2	+27.3%
Americas	8.4	10.0	+19.0%
Africa	6.2	7.8	+25.8%
Middle East & SW Asia	11.5	14.6	+27.0%
Gulf & Indian Ocean	8.3	9.9	+19.3%
Total	71.5	86.6	+21.1%

The strong passenger recovery reflected both pent-up demand following the COVID-19 pandemic and growing middle-class populations in Emirates' key growth markets. Emirates' Chief Commercial Officer noted that the airline had "deliberately invested in capacity during the pandemic downturn" to be positioned for recovery, while some competitors had retired aircraft or cut routes permanently.

Sources for use with Section B

Extract E

Fuel costs, hedging and the environmental challenge

Jet fuel (aviation kerosene) is consistently the single largest operating cost for long-haul carriers. For Emirates, fuel costs represented approximately 35–39% of total operating costs in the period 2022–24, as shown in Extract B. Global oil prices are determined by macroeconomic forces — including OPEC production decisions, US shale output, and geopolitical instability in oil-producing regions — that are entirely beyond the airline's control.

Airlines manage fuel price risk through hedging: purchasing financial contracts that fix a future price for a proportion of expected fuel consumption. Emirates employs a selective hedging strategy rather than fully hedging its fuel requirements, accepting some exposure to falling prices. In 2022–23, when fuel prices spiked following the Ukraine war, Emirates' fuel bill reached AED 32.4 billion. The airline has acknowledged that "there is no fully effective hedge against sustained high oil prices."

Environmental regulation adds a further layer of cost pressure. International aviation is subject to the Carbon Offsetting and Reduction Scheme for International Aviation (CORSIA), administered by the UN's International Civil Aviation Organisation (ICAO). CORSIA requires airlines to offset any growth in emissions above 2019 baseline levels by purchasing carbon credits. The EU Emissions Trading System (ETS) additionally applies a carbon price to flights within, into and departing from the European Economic Area — a key market for Emirates.

Sustainable Aviation Fuel (SAF) — produced from waste materials or biological sources — can reduce lifecycle carbon emissions by up to 80% compared with conventional jet fuel. Emirates conducted its first SAF-powered trial flight in 2023. However, SAF currently costs between three and five times more than conventional fuel, and global production capacity meets less than 0.1% of aviation's annual fuel needs. Emirates' Group CEO has stated that SAF "will not be commercially viable at scale for this airline this decade" without significant government subsidies.

Extract F

Technology, digital innovation and competitive disruption

Next-generation aircraft offer meaningful efficiency gains that directly affect Emirates' cost base. The Boeing 777X — Emirates' flagship future aircraft — uses composite materials and new-generation GE9X engines to deliver approximately 20% better fuel efficiency per seat than the current 777. Emirates' AED 52 billion order signals a long-term commitment to fleet renewal as a structural cost-reduction strategy.

Digital disruption is reshaping how passengers book, experience and review air travel. Emirates has invested heavily in its digital booking platform, mobile app and AI-powered customer service tools, including chatbots and predictive disruption management systems. The airline's loyalty programme, Skywards, has over 30 million members and generates significant ancillary revenue through data-driven personalised offers.

Cybersecurity has emerged as a critical operational risk. In 2024 a cyberattack on CrowdStrike's software — used by many global businesses, including airlines — caused widespread flight cancellations and check-in failures across the industry. Emirates escaped the worst effects but acknowledged that aviation's dependence on complex, interconnected IT systems creates "systemic vulnerability" that no single airline can fully mitigate.

Source for use with Section C

Extract G

Is PESTLE analysis still useful in a volatile world?

PESTLE analysis is one of the most widely taught and used strategic frameworks in business. Its appeal lies in its simplicity: by systematically scanning the political, economic, social, technological, legal and environmental landscape, managers can map the external forces shaping their industry. Yet the tool has attracted criticism — particularly in industries, such as aviation, that are unusually exposed to sudden, unpredictable shocks.

Supporters argue that PESTLE remains indispensable precisely because the world is volatile. Conducting a rigorous PESTLE before major investment decisions — such as Emirates' USD 52 billion fleet order — helps boards identify long-term structural trends that will shape returns over decades, even if short-term shocks cannot be predicted. Identifying, for example, the direction of environmental regulation, the trajectory of fuel technology and the demographic growth of key markets allows strategic decisions to be tested against multiple future scenarios.

Critics counter that PESTLE is inherently backward-looking: it catalogues trends that are already visible rather than anticipating discontinuities. The COVID-19 pandemic — which caused global aviation revenue to fall by over 60% in 2020 — would not have appeared in any PESTLE conducted in 2019. Nor would a sudden closure of Russian airspace. These critics argue that in practice PESTLE becomes a bureaucratic checklist completed to satisfy governance requirements, rather than a genuine tool for strategic thinking. The real skill, they suggest, lies not in completing the framework but in the quality of judgement applied to its outputs.

A further challenge is that PESTLE factors do not operate in isolation. For Emirates, inflation (Economic) increases both operating costs and the discretionary spending pressure on leisure travellers; geopolitical conflict (Political) forces route changes that increase fuel burn (Environmental); environmental regulation (Legal/Environmental) raises costs at exactly the moment the airline needs capital for fleet renewal (Economic). Strategists increasingly argue that the interaction effects between PESTLE categories can be more significant than any individual factor — and that a linear checklist approach fails to capture these dynamics.

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